Subject Code	AF5312
Subject Title	Principles of Corporate Finance
Credit Value	3
Level	5
Normal Duration	One Semester
Pre-requisite / Co-requisite/ Exclusion	Pre-requisite: None Exclusion: Financial Management (AF5318) Managerial Finance (AF5326) Finance for Executives (AF5327) Corporate Financial Management (AF5331)
Objectives	This course introduces students to the foundation knowledge and techniques in corporate finance, as well as covering more specialized aspects of corporate finance on which other subjects can be built. This course will help students to identify real life corporate finance issues and explain the related observations or phenomena in terms of sound financial theories concepts. Students are also able to apply up-to-date corporate finance principles and see their impact on corporate policies and strategies.
Intended Learning Outcomes	Upon successful completion of this course, students should be able to: a. Understand the major tasks of corporate finance; b. Understand the role of financial markets and interest rates in corporate financing and how they should be incorporated in corporate financing decisions; c. Understand the importance of the time value of money and its relevance to corporate financial decisions, and be able to apply the up-to-date knowledge acquired in the course to solve similar capital budgeting problems in other real case situations; d. Understand the return-risk relation and the CAPM; e. Understand issues of cost of capital, capital structure, and different methods of equity and debt financing.
Subject Synopsis/ Indicative Syllabus	**Key Concepts of Corporate Finance** Corporate finance and the financial manager; goals of corporate management; agency problem, corporate governance and control of the corporation; firm value expressed as contingency claims; time value of money and present value. **Valuation and Capital Budgeting** Evaluation of capital investment decisions using the net present value rule; alternative rules for capital budgeting; Risk and return; the CAPM. **Market Efficiency and Behavioral Finance** The efficient market hypothesis; behavioral finance; financial crisis.

<table>
<tr><td></td><td>Capital Structure
Financial leverage and firm value; implications of Modigliani and Miller propositions; capital structure and cost of capital; optimal capital structure; limits to the use of debt; valuation and capital budgeting for the levered firm.

Dividends and Other Payout
Types of dividend; dividend policies; factors affecting dividend payout policy.

Long-term Equity and Debt Financing
Public issue; alternative issue methods; cash offer; announcement of new equity and the value of the firm; cost of new issues; rights; the new-issue puzzle; types of bonds; public issue of bonds; bond refunding; bond rating; private placement of securities.</td></tr>
<tr><td>Teaching/Learning Methodology</td><td>The subject is structured around lectures/seminars, supplemented by exercises within and outside class. Participants are urged to prepare themselves well for each class and to proactively interact with both the instructor and other students. Students should read all relevant chapters a few times and try the practice questions at the end of each chapter.</td></tr>
<tr><td>Assessment Methods in Alignment with Intended Learning Outcomes</td><td>
<table>
<tr><td rowspan="2">Specific assessment methods/tasks</td><td rowspan="2">% weighting</td><td colspan="6">Intended subject learning outcomes to be assessed (Please tick as appropriate)</td></tr>
<tr><td>a</td><td>b</td><td>c</td><td>d</td><td>e</td><td></td></tr>
<tr><td>1. Class participation</td><td>10%</td><td>✓</td><td>✓</td><td>✓</td><td>✓</td><td>✓</td><td></td></tr>
<tr><td>2. Assignment / project</td><td>15%</td><td>✓</td><td>✓</td><td>✓</td><td>✓</td><td>✓</td><td></td></tr>
<tr><td>3. Test</td><td>25%</td><td>✓</td><td>✓</td><td>✓</td><td>✓</td><td>✓</td><td></td></tr>
<tr><td>4. Final examination</td><td>50%</td><td>✓</td><td>✓</td><td>✓</td><td>✓</td><td>✓</td><td></td></tr>
<tr><td>Total</td><td>100 %</td><td colspan="6"></td></tr>
</table>

Note: The specific requirements on individual assessment components discussed above could be adjusted based on the pedagogical needs of subject lecturers.</td></tr>
<tr><td rowspan="3">Student Study Effort Expected</td><td>Class contact:</td><td></td></tr>
<tr><td>▪ Lectures / Seminars</td><td>39Hrs.</td></tr>
<tr><td>Other student study efforts:</td><td></td></tr>
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	▪ On average, students are expected to spend about 52 hours for studying and doing exercise questions after class.	52 Hrs.
	▪ On average, students are expected to spend 23 hours for doing the assignment / project.	23 Hrs.
	Total student study effort	114 Hrs.
Reading List and References	<u>Textbook</u> Ross, S., Westerfield, R., Jaffe, J. and Jordan, B., *Corporate Finance,* McGraw-Hil, 13th Edition <u>Reference</u> Ross, S., Westerfield, R., and Jordan, B., *Fundamentals of Corporate Finance*, McGraw-Hill, latest edition, Brealey, R., Myers, S., F. Allen, and Edmans, A., *Principles of Corporate Finance*, McGraw-Hill, latest edition. Copeland, T., Weston, J., and Shastri, K., *Financial Theory and Corporate Policy*, Pearson, latest edition. Shefrin, H., *Behavioral Corporate Finance*, McGraw-Hill, latest edition. Selected journal articles.	